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Shopping plans, buying motivations, and return policies: impacts on product returns and purchase likelihoods

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Abstract Product return behavior and factors that contribute to product returns are an under-researched area, despite significant importance to manufacturers and retailers. The current research attempts to fill the gap by focusing on two factors that shape consumer purchase behavior: (1) whether purchases are planned or unplanned, and (2) whether hedonic or utilitarian motivations drive purchases. The findings show that purchase plans and buying motivations have distinctive and interactive impacts on pre-purchase concerns, self-estimated likelihood of returning purchases, and purchase intentions with or without return policies. When hedonic motivation drives purchases, unplanned (vs. planned) purchases lead to higher return concerns, higher return likelihood, and lower buying intentions. When utilitarian motivation drives purchases, planned and unplanned purchases have comparable return concerns, return likelihood, and buying intentions. This interaction effect on buying intentions dissipates when a lenient return policy is offered.

Keywords Hedonic/utilitarian shopping · Product return · Return policy · Unplanned purchase

1 Introduction

People prefer to make reversible rather than irreversible decisions to gain peace of mind from knowing that they can undo bad decisions (Gilbert and Ebert 2002).

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Consequently, sellers know that lenient return policies increase long-term profitability by reducing customers' risk perceptions and making them more likely to purchase (Petersen and Kumar 2009). Liberal return policies, however, can cause a flood of returned merchandise: each year, American consumers return more than $100 billion worth of products, and lost sales and reverse logistics cost an average of 3.8 % of profit per retailer or manufacturer (Blanchard 2007). Some product categories have return rates of greater than 25 % (Hess and Mayhew 1997). Obviously, better understandings of consumer behavior regarding product returns are essential for effectively managing product returns and return policies.

Although the phenomenon of consumer product returns has significant ramifications, researchers have directed relatively little attention toward analyzing the problem (Bonifield et al. 2010). Most marketing research on product returns has adopted modeling approaches (Nasr-Bechwati and Siegal 2005). For example, researchers have examined competitive advantages of return policies (Padmanabhan and Png 1997), optimal return policies (Gurnani et al. 2010), return management processes (Mollenkopf et al. 2007), and signaling effects (Moorthy and Srinivasan 1995; Srivastava and Lurie 2004) as well as the option value of a product return (Anderson et al. 2009; Heiman et al. 2002). However, few researchers have studied individual product return behavior (Petersen and Kumar 2009) or factors that cause consumers to return products. In particular, researchers have directed little attention to factors that increase shoppers' pre-purchase concerns about product returns and the consequences of their worries about making bad choices. Retailers can more effectively manage return policies and processes if they understand factors that affect consumer concerns about product returns, their buying intentions, and their likelihood of returning merchandise. For instance, retail managers may benefit from insights into behavioral and situational factors that are most likely to generate product returns.

In this research, we attempt to fill the gap in the literature and improve our understanding of consumer behavior regarding product returns. Recognizing that retailers widely use return policies and that consumers return a massive amount of products, we conducted a pilot study that supported our prediction that many consumers are conscious of product returns and store return policies when they make purchases. Of 120 study participants, 119 were able to recall recent product-return experiences. They reported a wide variety of returned items; clothes, shoes, and bags were the most frequently mentioned products. Their most common reasons for product returns were poor fit, unsatisfactory performance, change of mind, finding a better alternative/deal, and regret about buying impulsively. The prevalence of product returns suggests that product returns are not only a post-purchase issue. Rather, consumers proactively consider the option of future returns even before they buy; they anticipate that they may be unhappy with the purchase in the future: clothes/shoes may fit poorly; products may perform unsatisfactorily; preferences might change, or better deals/alternatives may surface, all prompting product returns (Yoon and Vargas 2010; Yoon and Vargas 2011). With those possibilities looming overhead, consumers are concerned about product returns in pre-purchase stages, even when retailers offer reasonable return policies, because consumer concerns may extend to worries about wasted time, effort, and potential costs of transportation, parking, shipping costs, and restocking fees associated with product returns as well as psychological costs such as disappointment, regret, and burdens of undertaking a new search. Thus, we can reasonably assume that

experienced consumers are likely to be highly conscious of product returns in pre-purchase stages.

Although the extant research has largely neglected the topic, our pilot study results suggest that consumer concerns about product returns play a significant role in purchase processes and have important consequences for purchase intentions. To provide insights into return concerns, we focus specifically on two factors that shape purchase processes: (1) whether purchases are planned or unplanned, and (2) whether purchases are made with hedonic or utilitarian motivations. We test how these factors impact three key variables in the purchase process: pre-purchase concerns about product returns, self-estimated likelihood of return, and purchase intentions with or without return policies. Our findings indicate that purchase plan and buying motivations have distinctive and interactive impacts on these variables.

We first provide theoretical background of the key constructs that are expected to influence consumer return concerns and return likelihood. We then develop a conceptual framework and associated hypotheses regarding the relationship between the key constructs. Next, we test the hypotheses with three studies. We conclude with a discussion of theoretical implications for marketing researchers and managerial implications. We also make suggestions for future research.

2 Theoretical background and conceptualization

2.1 Planned vs. unplanned purchases

Sometimes consumers plan to make a purchase before they enter a store, and sometimes they decide to buy a product after they are on the premises (Bucklin and Lattin 1991). Relatively deliberate, thoughtful search prior to shopping precedes planned purchases, whereas unplanned purchases occur when shoppers recognize that they need or like merchandise they happen to see while shopping. Unplanned purchases are widespread. For example, more than two-thirds of supermarket purchases involve in-store, unplanned decisions to buy specific brands or items that fall outside the categories the shopper was seeking (Point of Purchase Advertising Institute 1995). Grocery shoppers spend 29–49 % of their total dollars on unplanned food items, depending on whether they use grocery lists or shop when they are hungry (Gilbert et al. 2002). The probability of unplanned grocery store purchases has been shown to be 46 % or even higher (Inman et al. 2009), with point-of-purchase promotions being used increasingly.

Given that consumers make many purchase decisions after entering the store, it is critical to understand the influence of purchase plans, whether present or absent, on purchase processes and post-purchase outcomes. Intuitively, one might speculate that unplanned purchases, which tend to be spontaneous and impulsive, are more likely than planned purchases to cause pre-purchase concerns about product returns and lower buying intentions. However, a closer literature review reveals that return concerns may also depend on whether utilitarian or hedonic motivations drive purchases.

2.2 Utilitarian vs. hedonic consumption motivations

Hedonic consumption offers sensual pleasure, enjoyment, experience, and excitement; while utilitarian consumption satisfies functional, instrumental, and practical needs (Hirschman and Holbrook 1982; Strahilevitz and Myers 1998). Although both hedonic and utilitarian motivations may drive the purchase of some goods/services to varying degrees (Batra and Ahtola 1990), many products have more or less dominant hedonic or utilitarian attributes. Broadly speaking, hedonic purchases such as designer clothes and luxury watches are considered frivolous or even decadent, while utilitarian purchases such as laundry detergent and microwave ovens are considered practical or necessary (O'Curry and Strahilevitz 2001). Although necessity or optionality is a matter of degree and can be subjective, consumers tend to perceive hedonic purchases as relatively more discretionary and tend to perceive utilitarian purchases as relatively more essential (Okada 2005). As a result, consumers tend to think and feel differently when they make hedonic or utilitarian purchases. They may feel guilt when considering or actually making hedonic purchases because they cannot easily justify their actions (Kivetz and Simonson 2002). In contrast, they can easily defend utilitarian purchases as being necessary. Alternatively, the sense of guilt may make it harder to justify hedonic (vs. utilitarian) purchases. Whatever the direction, guilt interrelates rather than competes with justification (Okada 2005): hedonic purchases tend to evoke stronger guilt and demand harder justification; utilitarian purchases can be readily rationalized and accepted.

2.3 Hypotheses development

We propose that when hedonic motivation drives buying decisions, unplanned purchases, relative to planned purchases, produce more return concerns, higher self-predicted return likelihood, and lower purchase intentions. When utilitarian motive drives a purchase, however, return concerns, return likelihood, and buying intentions will depend less on whether the purchase was planned before the shopping trip, because utilitarian purchases tend to be necessary and practical. For example, consider a shopper who has a utilitarian motive to buy a backpack to replace a dysfunctional one. Whether the shopper was deliberately planning to purchase a backpack or spontaneously bought it while shopping for other goods should have little impact on the shopper's return concerns, predicted return likelihood, and buying intentions, because the shopper in either scenario needs a new backpack and buying a new backpack can be effortlessly justified. Therefore, when a utilitarian need motivates the purchase, planned and unplanned purchases will create roughly equivalent return concerns, return likelihood, and buying intentions. On the other hand, sensory pleasure and emotional desire drive hedonic purchases, often evoking pre-purchase and anticipated feelings of regret and guilt, thereby producing greater return concerns and lower purchase intentions. For example, if the shopper impulsively buys a new backpack because it is fashionably styled, the hedonic motivation will evoke feelings of guilt and regret. In contrast, the shopper will feel more positive and more justified in making a hedonic purchase if the shopper mentally simulated and deliberately planned the purchase before visiting the store. Thus, concerns greatly depend on whether hedonic purchases are planned or unplanned: unplanned hedonic purchases will be more likely

than planned hedonic purchases to prompt concerns about product returns and to lower buying intentions.

In summary, we propose that shopping motivations, utilitarian or hedonic, will moderate planned or unplanned shopping effects on pre-purchase return concerns, self-estimated return likelihood, and buying intentions. When utilitarian motivation drives a purchase, shopping plans will have little influence on these factors; planned and unplanned purchases will have comparable return concerns, return likelihood, and buying intentions.[1] When hedonic motivation drives a purchase, unplanned (vs. planned) purchases will lead to higher return concerns, higher return likelihood, and lower buying intentions.

We undertook three studies to test these propositions. Study 1A tests a 2(planned and unplanned)×2 (hedonic and utilitarian) interaction effect on concerns about product returns. Study 1B tests self-predicted likelihood of return. Following our conceptualization, we hypothesize that unplanned (vs. planned) purchases will produce more concerns about product returns and higher return likelihood, but purchase motivations (utilitarian vs. hedonic) will qualify the effect. That is, we will observe shopping plan impact on return concerns and return likelihood when hedonic motivation drives the purchase but not when utilitarian motivation drives the purchase.

H1 When *hedonic* motivation drives a purchase, an unplanned purchase will produce higher pre-purchase return concerns than will a planned purchase. However, when *utilitarian* motivation drives a purchase, an unplanned purchase will not produce higher pre-purchase return concerns than will a planned purchase.

H2 When *hedonic* motivation drives a purchase, an unplanned purchase will produce higher self-estimated return likelihood than will a planned purchase in the pre-purchase stage. However, when *utilitarian* motivation drives a purchase, an unplanned purchase will not produce higher self-estimated return likelihood than will a planned purchase.

In Study 2, we extend Studies 1A and 1B by (1) comparing the purchase occasion with and without a return policy and (2) investigating a different variable: purchase intentions. An increasing number of recent studies have examined consumers' behavioral responses to return policies (Kim and Wansink 2012; Kukar-Kinney et al. 2007; Suwelack et al. 2011), and our research adds to that growing literature. We examine whether and how a retailer's return policy will influence the interactive effect of shopping plan and buying motivations on purchase intentions. We expect generous return policies to enhance purchase likelihood (Woods 2001), and that such policies will modify the 2(planned and unplanned)×2 (hedonic and utilitarian) interaction on purchase intentions. We expect that unplanned hedonic purchases will produce more return concerns than will planned hedonic purchases (H1), because hedonic purchases will generate greater negative thoughts/feelings when the purchase is unplanned (vs. planned). However, a generous return policy is expected to dampen current and anticipated

[1] We recognize that utilitarian purchases may elicit pre-purchase return concerns and perceived risks in some situations. However, our main propositions and the focus of Studies 1A and 1B concern the relative effects of shopping plans on return concerns and return likelihood between utilitarian and hedonic purchases.

negative thoughts/feelings associated with unplanned hedonic purchases. Although many buyers are concerned about product returns for unplanned (vs. planned) hedonic purchases, when a store makes its lenient return policy salient, shoppers may foresee that they will be able to reverse their decisions after purchase, reducing their anxiety and freeing them from concerns about negative post-purchase experiences. Accordingly, under a generous return policy, whether a purchase was planned will have less influence on purchase intentions for hedonic purchases. With no recourse for product returns, however, our Study 1 prediction will hold true: unplanned (vs. planned) purchases will be more suppressed under the hedonic condition, while under the utilitarian condition, planning will have less effect on buying intentions. In short, a return policy will play the "insurance" role only for unplanned hedonic situations but not for other purchase situations. In Study 2, we test this idea with a 2(planned and unplanned)×2 (hedonic and utilitarian)×2(no-return and 60-day return policy) design.

H3 *Hedonic* unplanned purchases will produce lower purchase intentions than will planned purchases. *Utilitarian* planned and unplanned purchases will produce comparable purchase intentions. However, a generous return policy will mitigate the two-way interaction effect.

3 Study 1

3.1 Study 1A

3.1.1 Study design

Participating in this study were 100 undergraduate students who received partial course credit for their participation. We asked them to imagine they were considering buying a pair of shoes. We selected the shoe product category for several reasons. First, shoe retailers offer greatly varying return policies. DSW has a 60-day return period but only for non-worn shoes. Payless ShoeSource accepts worn shoes within 90 days from purchase. Zappos, an online shoe store, offers a generous 1-year return period but only for non-worn shoes. Consequently, buyers seem to be greatly concerned about return policies when they purchase shoes. Second, most people possess multiple pairs of shoes purchased under both utilitarian and hedonic motivations, with or without plans. Finally, our pilot study showed that shoes are among the most frequently returned products.

We used a 2(planned and unplanned) ×2 (hedonic and utilitarian) between-subjects design to examine how extensively these two dimensions influence pre-purchase return concerns. We manipulated the dimensions through four scenarios and randomly assigned participants to one scenario. Consistent with the concept of planned and unplanned purchases, we differentiated the planned and unplanned dimension by telling participants that they decided to make the purchase either "before" or "after" they entered the store. We differentiated the hedonic and utilitarian dimension by describing whether they were buying out of "necessity" or "variety-seeking." The scenarios were:

- Planned utilitarian: Your old shoes have been ripped apart and you need to buy a new pair. You go to the nearby shopping mall to buy a new pair of shoes and purchase them for $50. They are comfortable and fit properly.
- Unplanned utilitarian: Your old shoes have been ripped apart and you need to buy a new pair. While you are walking in a nearby shopping mall, you pass a pair of shoes. Suddenly, you remember you need new shoes and buy them for $50. They are comfortable and fit properly.
- Planned hedonic: You have multiple pairs of shoes, but you want to try something different. You go to the nearby shopping mall to buy a new pair of shoes and purchase them for $50. They are comfortable and fit properly.
- Unplanned hedonic: While you are walking in a nearby shopping mall, you pass a pair of shoes that you instantly like. You have multiple pairs of shoes, but suddenly you want to try something different. You buy them for $50. They are comfortable and fit properly.

After reading their assigned scenario, participants rated their concerns about product returns with four items developed for this study: how concerned they would be about the store's return policy (1=not concerned at all, 9=very concerned), how important it would be to check the store's return policy (1=not important at all, 9=very important), how likely they would be to check the store's return policy before they made a purchase (1=very unlikely, 9=very likely), and how important it was for the store to have a generous return policy in deciding whether to buy (1=not important at all, 9=very important).

3.1.2 Results and discussion

The four items were averaged to create a composite measure of return concerns (α= 0.96). We first tested the 2(planned and unplanned)×2 (hedonic and utilitarian) interactions on pre-purchase return concerns. As we hypothesized, a significant two-way interaction occurred (p=0.004). As shown in Fig. 1a, follow-up contrasts revealed that unplanned (vs. planned) purchases evoked more return concerns in the hedonic condition ($M_{unplanned}$=7.93 vs. $M_{planned}$=6.66, p=0.000) but not in the utilitarian condition ($M_{unplanned}$=2.57 vs. $M_{planned}$=2.26, F<1). Further analysis revealed a main effect of buying motivations such that participants in the hedonic (vs. utilitarian) condition expressed more return concerns ($M_{hedonic}$=7.30 vs. $M_{utilitarian}$=2.42, p= 0.000). The hedonic purchase scenarios might have made the purchase look excessive, thereby resulting in higher return concerns than the utilitarian purchase scenarios. Planned and unplanned conditions showed no significant differences ($M_{planned}$=4.46 vs. $M_{unplanned}$=5.25, p=0.132). Overall, the results are consistent with H1. Unplanned (vs. planned) purchases produced more pre-purchase return concerns when hedonic motivation drove the purchase but not when utilitarian motivation drove the purchase.

3.2 Study 1B

The purpose of Study 1B was to examine whether the return concerns tested in Study 1A would translate into pre-purchase estimations of return likelihood. We measured self-predicted return likelihood in place of return concerns. Another purpose was

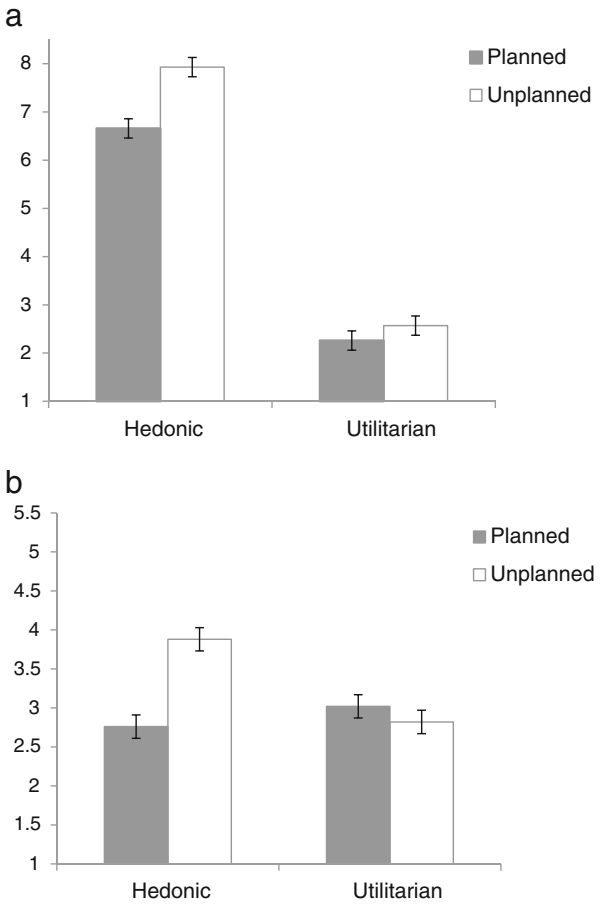


Fig. 1 **a** Pre-purchase concerns about product returns (Study 1A). **b** Pre-purchase estimate of return likelihood (Study 1B)

attaining consistent results with a different product category to avoid confounding our manipulations with a product category and to generalize our findings.

3.2.1 Study design

We used a 2 (planned and unplanned)×2 (hedonic and utilitarian) between-subjects design. Participants (n=113) received one of four scenarios similar to the ones used in Study 1A. In utilitarian motivation conditions, participants imagined they were looking for a durable, convenient backpack. In hedonic motivation conditions, they imagined they were seeking a new backpack because they were bored with the one they owned. In planned purchase conditions, they imagined they had planned to buy a backpack before they went shopping. In unplanned purchase conditions, they imagined buying the backpack spontaneously, without a buying plan, when they saw it in the store.

To ensure that the utilitarian vs. hedonic motivation manipulations and the planned vs. unplanned shopping manipulations worked as we intended, we developed and pretested manipulation-check items. In a pretest, participants (n=70) received one of

the four scenarios and used three items to rate whether they assumed they made the purchase under utilitarian or hedonic motivations: "This purchase was driven by" (1= emotional desire vs. 9=practical need); "This purchase was driven by" (1=pleasure vs. 9=necessity); "I purchased the product because I" (1=wanted to vs. 9=needed to). They also used three items to rate whether they perceived the purchase to be planned or unplanned: "The purchase was" (1=unplanned vs. 9=planned); "The purchase was" (1=spontaneous vs. 9=deliberate); and "The purchase was decided" (1=in the store vs. 9=before entering the store). We created a single index for each manipulation by averaging the three items in each scale (α=0.86 for the planned vs. unplanned manipulation and α=0.94 for the utilitarian vs. hedonic manipulation). The manipulations were successful. Participants who received utilitarian purchase scenarios evaluated the purchase as more utilitarian than those who received hedonic purchase scenarios ($M_{utilitarian}$=7.12 vs. $M_{hedonic}$=3.40, p<0.01). Participants who read planned purchase scenarios rated the purchase as being more planned than those who read unplanned purchase scenarios ($M_{planned}$=6.79 vs. $M_{unplanned}$=3.17, p<0.01).

In the main study, participants first read one of the four shopping scenarios and rated how likely they would be to return the item if they bought it in the given situation. Two nine-point items (r=0.81, p<0.01) measured self-predicted return likelihood (1=very unlikely, 9=very likely): (1) "In the given situation, if you bought the item, how likely are you to consider returning the product to the store?" (2) "In the given situation, if you bought the item, how likely are you to return the product to the store?"

3.2.2 Results and discussion

The results revealed a significant 2 (planned and unplanned)×2 (hedonic and utilitarian) interaction on pre-purchase estimate of return likelihood (p<0.05). As Fig. 1b shows, when hedonic motivation drove the purchase, participants estimated higher return likelihood in the unplanned purchase situation ($M_{unplanned}$=3.88) than in the planned purchase situation ($M_{planned}$=2.76, p<.05). When utilitarian motivation drove the purchase, return likelihood was not significantly different for unplanned purchase ($M_{unplanned}$=2.82) or planned purchase conditions ($M_{planned}$=3.02, F<1). There was no main effect of shopping motivation or shopping plan (p>0.14). Overall, the results are consistent with the results of Study 1A and support H2.

4 Study 2

Consumer buying decisions often depend on retailers' return policies (Davis et al. 1998; Yoon et al. 2014), ranging from unlimited returns in companies such as L.L.Bean to no refunds as is common for items such as shoes, furniture, and sale items. Generous return policies likely encourage buying on the spot (Venkatesan and Kumar 2004). In Study 2, we incorporated store return policies into our research design and examined how policies change the nature of the two-way interaction between shopping plans and buying motivations. Furthermore, we examined whether impacts of pre-purchase return concerns and self-estimated return likelihood translate into purchase likelihood.

In Studies 1A and 1B, unplanned (vs. planned) hedonic purchases produced more return concerns and higher return likelihoods, whereas utilitarian purchases, planned or

unplanned, showed little difference in return concerns and return likelihoods. In Study 2, we expected that planned hedonic purchases would show higher purchase likelihood than would unplanned hedonic purchases, but that planned and unplanned utilitarian purchases would show no such difference. Here, the effect on purchase likelihood is opposite to that on return concerns and return likelihood. The logic behind the mirror effect is that when consumers are more concerned about product returns and expect that they are more likely to return their purchases, they will avoid negative consequences by being less likely to purchase. Conversely, with product return concerns reduced, and lower likelihood of returns, they are more likely to purchase.

In addition, we predicted that a return policy would further moderate the aforementioned effect of (planned and unplanned) × (hedonic and utilitarian) interaction on purchase likelihood. The two-way interaction will dissipate when buyers are offered a generous return policy, because knowing that they can later revoke their purchase decisions will reduce their concerns about potential negative outcomes resulting from bad purchase decisions (Yoon 2013). Therefore, when a store offers a salient and generous return policy, planned or unplanned shopping will have less influence on hedonic purchase intentions. Consequently, the two-way interaction effect will diminish. With no possibility of product returns, however, our prediction is consistent with the results from Studies 1A and 1B.

4.1 Study design

As in Study 1A, participants (n=250) were asked to imagine they were considering buying a pair of shoes. We used a similar design as in our earlier studies with the addition of product return policy as a third variable (no-return vs. 60-day return). The dependent variable was purchase likelihood. Participants in the no-return conditions were told that the store did not accept product returns for the product under consideration, whereas participants in the 60-day return conditions were told that the product could be returned within 60 days from purchase. Adding this variable yielded a 2 (planned and unplanned)×2(hedonic and utilitarian)×2 (no-return and 60-day return policies) mixed design with the first two as between-subjects factors and the third as a within-subjects variable. The manipulations remained similar to those in Studies 1A and 1B, and participants were randomly assigned to one of the four scenarios. After reading the scenario, participants completed the manipulation-check items we used in Study 1B. We combined the three items in each scale to create a composite scale (α= 0.89 and 0.94). Participants finally indicated how likely they were to buy the given product (1=very unlikely, 9=very likely) under each of the two return policies (no-return and 60-day return).

4.2 Results and discussion

The manipulations were successful: participants who received planned purchase scenarios rated the purchase as being more planned than those who received unplanned purchase scenarios ($M_{planned}$=5.35 vs. $M_{unplanned}$=3.62, p=0.000). Participants who received utilitarian purchase scenarios evaluated the purchase as more utilitarian than those who received hedonic purchase scenarios ($M_{utilitarian}$=5.83 vs. $M_{hedonic}$=2.82, p= 0.000). To test H3, we first ran a three-way (planned and unplanned) × (utilitarian and

hedonic) × (no-return and 60-day return) ANOVA on purchase likelihood, which yielded a marginally significant result (p=0.086). To better understand the nature of the three-way interaction, we decomposed this interaction across the two return policy conditions. For each return policy condition, we conducted a 2 (planned and unplanned)×2(hedonic and utilitarian) ANOVA on purchase likelihood. In the no-return condition, a significant 2 (planned and unplanned)×2(hedonic and utilitarian) interaction occurred (p=0.050). As Fig. 2 shows, follow-up contrasts revealed no significant difference in buying likelihood between planned utilitarian condition and unplanned utilitarian condition (M=4.17 vs. M=4.51, F<1). However, unplanned hedonic condition resulted in lower buying likelihood than did planned hedonic condition (M=3.91 vs. M=4.65, p<0.05). We then conducted the same analyses for the 60-day return condition. The two-way interaction was not significant (F<1). Our analysis showed no significant difference between planned utilitarian condition and unplanned utilitarian condition (M=7.27 vs. M=7.30, F<1). Likewise, no significant difference occurred between planned hedonic condition and unplanned hedonic condition (M=7.15 vs. M=7.22, F<1).

To summarize, when a purchase could not be returned, hedonic purchase was more likely if it was planned rather than unplanned. In utilitarian purchases, in contrast,

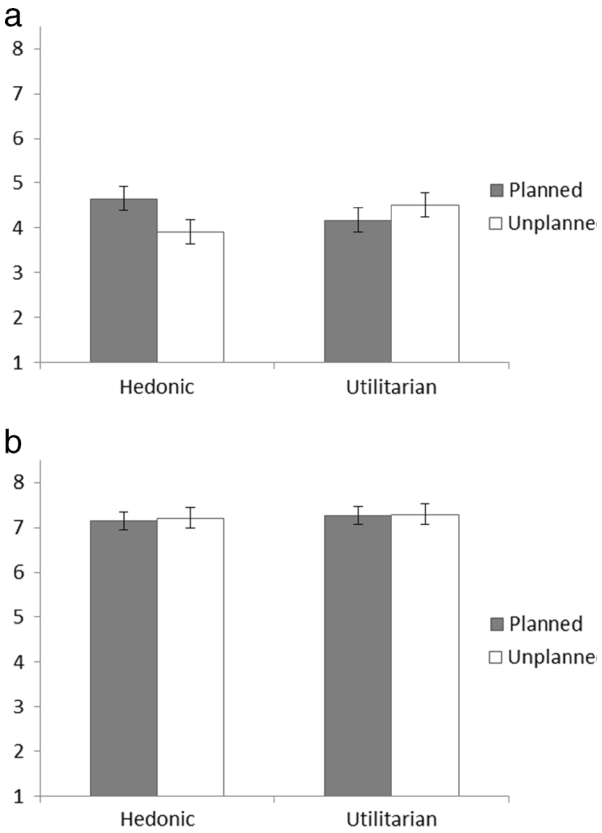


Fig. 2 **a** Purchase likelihood with a no-return policy (Study 2). **b** Purchase likelihood with a 60-day return policy (Study 2)

shopping plan had no significant impact on purchase likelihood. Therefore, when a purchase was non-returnable, the overall pattern of the 2 (planned and unplanned)× 2(hedonic and utilitarian) interaction closely resembled the results of Studies 1A and 1B. These results suggest that the heightened return concerns in unplanned hedonic purchases, compared with planned hedonic purchases, prompt lower purchase likelihood if buyers know they cannot return the product later. Further analysis showed that a generous return policy diminished the two-way interaction effect. Although the three-way interaction (shopping plans × buying motivations × return policies) was only marginally significant, when the store offered a salient and lenient return policy, the difference in purchase likelihood between planned hedonic and unplanned hedonic purchases dissipated to a non-significant level, presumably because the amplified return concerns in unplanned hedonic purchases were mitigated when participants learned they could later undo their buying decisions. Yet, the buffering effect of a lenient return policy appears less relevant for utilitarian purchases. Overall, the results support H3.

5 General discussions and implications

In this research, we identify three factors that separately and jointly affect aspects of product returns in the purchase process. The results demonstrate that consumers' pre-purchase concerns about product returns, self-estimated return likelihood, and purchase likelihood all depend on whether purchases are hedonic or utilitarian, whether purchases are planned or unplanned, and whether the product under consideration can be returned. We find that when hedonics drive purchases, unplanned (vs. planned) purchases produce higher return concerns and higher return likelihood. When utilitarian motivation drives purchases, however, planned and unplanned purchases produce analogous levels of return concerns and return likelihood. Return policy moderates this two-way interaction: when a generous store return policy is offered and made salient, shopping plan and buying motivations no longer interact to influence purchase intentions. This means that shoppers making unplanned hedonic purchases have their concerns about product returns alleviated because they know they can return the purchase if they change their minds.

The current research has important theoretical and practical implications. First, by exploring the role of shopping plans and buying motivations in purchase processes, we extend knowledge about individual and situational factors contributing to product returns, a noteworthy contribution to the dearth of research into factors affecting product returns. Second, we advance our understanding about the influence of return policies on buying behavior. Previous research shows that generous return policies increase purchases and product returns (Wood 2001). We extend that research by showing that lenient return policies interact with shopping plans and buying motivations to affect purchase likelihood.

Our research offers unique managerial insights. The findings enhance understandings and predictions about how consumers think and feel about returning merchandise. The three studies provide suggestions for marketers who want to alleviate shoppers' pre-purchase concerns so that they are more likely to buy. Although shoppers' buying motivations and shopping plans may seem to be uncontrollable individual factors, our

research shows that such individual factors are predictable. That is, when hedonic rather than utilitarian motivations drive purchases, consumers are more concerned about product returns. Some products, such as fashion accessories and video games, have more hedonic characteristics. Others, such as vacuum cleaners and daily planners, have more utilitarian features. Marketers should understand that hedonic items tend to generate more return concerns and lower purchase likelihood, particularly for impromptu purchases. Therefore, marketers might increase sales by developing tactics to relieve heightened pre-purchase return concerns. Although marketers routinely devise tactics that encourage unplanned buying, they should understand that sometimes they must extend their efforts to alleviate concerns about product returns, especially focusing on *unplanned* and *hedonic* purchases that produce the highest return concerns, highest return likelihoods, and lowest purchase intentions. As Study 2 shows, emphasizing a generous return policy can mitigate pre-purchase concerns and increase purchase likelihood in such situations. To avoid the sizable costs of lost sales and reverse logistics that occur in product returns, it is increasingly important to understand factors driving return behaviors, as provided in our research.

A caveat is that, across all three studies, we used similar procedures involving hypothetical purchase situations. Different manipulations could provide stronger support for our hypotheses. Future research would benefit from observing actual behaviors performed in natural settings or using scanner data. Furthermore, more work is needed to delineate the psychological mechanism behind our results. In building our conceptual framework, we used thoughts/feelings of guilt and regret and the difficulty of justification as underlying processes. Additional research might consider measuring participants' feelings and testing their mediating effect. Our studies show utilitarian (vs. hedonic) purchases generate less pre-purchase return concerns. Yet, some utilitarian purchases may trigger pre-purchase concerns if the buyer perceives financial or performance risks. It will be important to establish the boundary conditions for the effects we obtained. Finally, in Study 2, we compared effects of return vs. no return policies for a particular product. Because return policies are widespread in the marketplace, researchers should consider manipulating consumer awareness or interest in return policies, perhaps through store promotions, rather than studying whether return policies are available.

In conclusion, our work calls for further investigation into product returns, particularly because behavioral research in this area is rare. Future research should continue to help marketers identify and prepare for individual factors and situational environments that cause consumers to be more concerned about product returns and to be more likely to return purchases.

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